

Stora Enso Oyj

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COMPANY PROFILE

Stora Enso is a renewable-materials group operating in consumer paperboard, containerboard and corrugated packaging, market pulp, sawn and engineered wood, and Nordic and Latin American forest assets. Its industrial earnings are cyclical and capital intensive. Large forest holdings provide raw-material integration, balance-sheet value and the prospect of a listed Swedish forest vehicle.

RECOMMENDATION

BUY

12-month horizon

CURRENT PRICE

9.44 EUR

as of report date

TARGET PRICE

15.80 EUR

12-month fundamental

IMPLIED UPSIDE

+67.4%

vs. current price

MARKET CAP

EUR 7.4 bn

shares × price

ENTERPRISE VALUE

EUR 10.9 bn

mcap + EV adjustments

P/E 2026E

20.0×

EV/EBITDA 2026E

7.6×

FCF YIELD 2026E

0.9%

DIVIDEND YIELD
2026E

4.0%

NET DEBT / EBITDA
2026E

2.5×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION BUY 12-month horizon	TARGET PRICE 15.80 EUR 12-month fundamental	CURRENT PRICE 9.44 EUR as of report date	IMPLIED UPSIDE +67.4% vs. current price
MARKET CAP EUR 7.4 bn shares × price	ENTERPRISE VALUE EUR 10.9 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 20.0x · 7.6x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 0.9% · 4.0%



01 **Forest value is becoming observable**

The proposed H1 2027 demerger converts an appraisal-based asset into a separately quoted security. The base SOTP values forest operations at EUR 7.2 billion, below the EUR 8.5 billion total forest-asset fair value reported at Q1 2026.

EUR 7.2bn base forest EV

02 **Oulu can transform consumer-board earnings**

The 750,000-tonne line targets approximately EUR 800 million of annual sales at full capacity. Moving from qualification losses to saleable utilization is the largest industrial driver of the forecast recovery.

EUR 800m full-capacity sales

03 **The market embeds a deeper earnings failure**

The reverse valuation requires only EUR 286 million of EBIT in 2027, versus the maintained forecast of EUR 878 million. This gap provides upside even if group returns remain below peers.

EUR 592m 2027 EBIT gap

**THESIS
BREAKER**

Failure to ramp Oulu and a delayed forest demerger would remove both main routes to value realization.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

EUR per share, with 12-month target line



CURRENT PRICE

9.44 EUR

18 August 2026

TARGET PRICE

15.80 EUR

12-month

IMPLIED UPSIDE

+67.4%

vs. current

52-WEEK HIGH

12.26 EUR

past 12m

52-WEEK LOW

8.50 EUR

past 12m

1-YEAR CHANGE

-3.0%

price only

3-YEAR CHANGE

-11.9%

price only

REPORT DATE

18 August 2026

READING THE MOVE

The share-price move supports a rerating debate rather than a clean earnings recovery. Reported 2025 EBIT rebounded, but Oulu ramp costs, weak packaging pricing and high capital intensity still constrain cash conversion. The 2025 Swedish forest sale reduced debt and provided a transaction benchmark. The planned H1 2027 demerger is the next price-discovery event. The EUR 15.50 target requires both forest recognition and credible Oulu utilization.

VALUE BREAKDOWN · PART 1

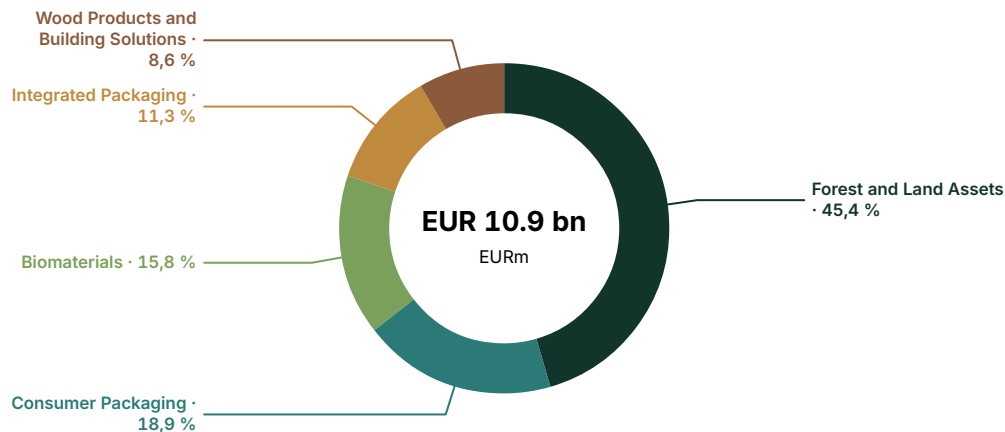
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

EUR millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	COMP. EBIT	COMP. EBIT % OF TOTAL	BASIS
Forest and Land Assets	4,941	45.4%	478	5.1%	187	19.9%	Modelled allocation
Consumer Packaging	2,058	18.9%	3,510	37.6%	129	13.7%	Modelled allocation
Biomaterials	1,715	15.8%	1,233	13.2%	185	19.6%	Modelled allocation
Integrated Packaging	1,235	11.3%	2,274	24.4%	74	7.9%	Modelled allocation
Wood Products and Building Solutions	936	8.6%	1,831	19.6%	-47	-5.0%	Modelled allocation
Total	10,885	100.0%	9,326	100.0%	942	56.1%	—

VALUE BREAKDOWN · PART 2

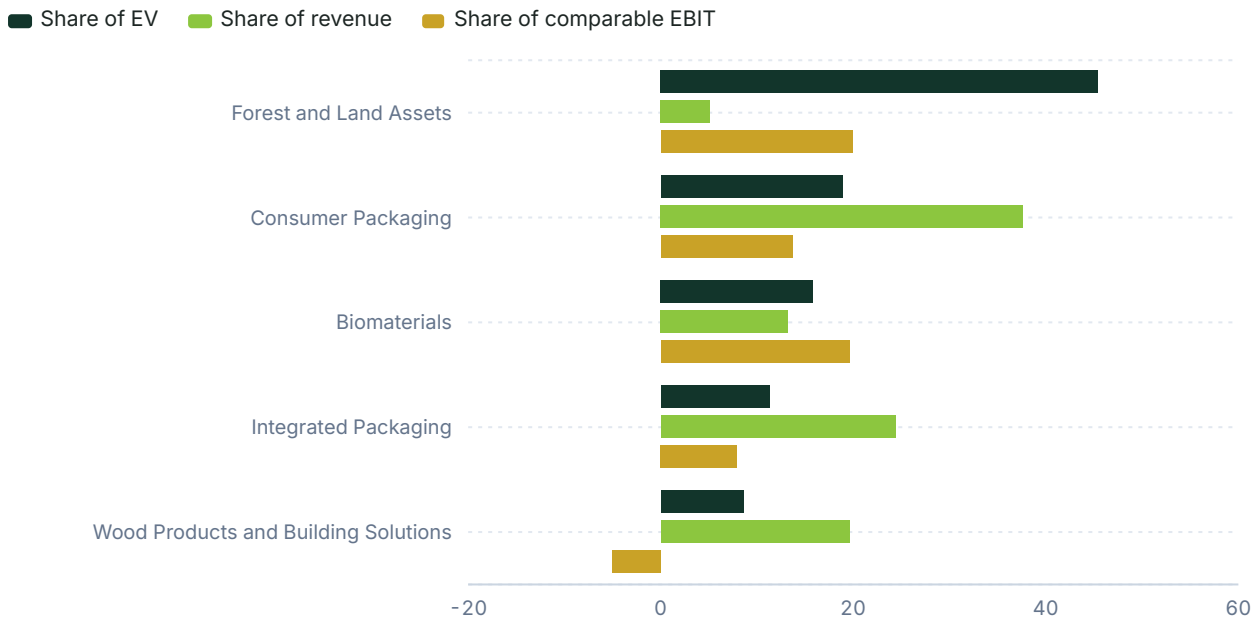
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Forest and Land Assets account for 45.4% of the immutable EUR 10.9 billion current EV allocation. Consumer Packaging and Biomaterials contribute another 34.7%. The market is therefore not mainly pricing a packaging-growth company. It is pricing a discounted forest estate alongside industrial assets earning below their cost of capital. Value realization requires both separation and industrial execution.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

BUY. The 12-month target price is EUR 15.8, implying 67.4% upside from the current price of EUR 9.44.

At EUR 9.438, Stora Enso has a market cap of EUR 7.4 billion and an EV of EUR 10.9 billion. The reverse valuation reaches this price only if modeled 2026 EBIT falls from EUR 687 million to EUR 404 million and 2027 EBIT declines to EUR 286 million. This is despite Oulu being scheduled to reach full capacity by 2027 and group forecasts showing EBIT recovering to EUR 878 million. The market is therefore pricing a prolonged return shortfall, not a normal cyclical trough.

The evidence supports both caution and upside. Oulu reached EBITDA breakeven by the end of 2025, but its Q4 ramp reduced adjusted EBIT by EUR 31 million. The line must still qualify products, build volume and sustain pricing across 750,000 tonnes of capacity. Conversely, the remaining Swedish forest estate had a reported fair value of approximately EUR 5.6 billion after the 2025 divestment. Stora Enso plans to demerge more than 1.2 million hectares into Bergslagens skogar in H1 2027. This could give investors a quoted reference for an asset now embedded in a low-return conglomerate.

The main argument against BUY is that forest value may be real but not fully distributable. Taxes, wood-supply obligations, minority interests and the mills' reliance on secure fibre can justify a conglomerate discount. Forecast FCFF is only EUR 65 million in 2026 and net debt rises to EUR 3.5 billion, leaving little room for another industrial setback. This does not overturn the call because the base valuation discounts forest assets below reported fair value and values Oulu on achievable 2027 earnings rather than construction cost.

The case would weaken if Oulu were not visibly approaching full capacity during 2027, Consumer Packaging remained near its 2025 adjusted EBIT margin of 3.5%, or Bergslagens skogar were delayed without an offsetting asset sale. It would strengthen if Oulu delivered sustained saleable output near its implied EUR 1,067 per tonne full-capacity revenue, European containerboard closures raised operating rates, or the forest demerger established a public value near the reported asset base.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Forest and Land Assets are the largest source of EV. The key comparison is the EUR 7.2 billion base value against EUR 8.5 billion of reported forest-asset fair value. Consumer Packaging is next: EUR 500 million of modeled 2027 EBITDA depends on Oulu converting 750,000 tonnes of capacity into qualified saleable output. Biomaterials contributes EUR 2.5 billion at EUR 400 million of EBITDA. Its earnings depend on pulp price less delivered fibre and production cost.

Integrated Packaging requires EUR 300 million of 2027 EBITDA. This depends less on volume growth than on European closures, operating rates and conversion spread. Wood Products and Building Solutions is modeled from 4.45 million cubic metres at EUR 411.55 per cubic metre. It is worth EUR 1.37 billion only if restructuring and a construction recovery lift EBITDA to EUR 170 million. Together, the five divisions produce EUR 15.87 billion of target EV.

The group model forecasts sales rising from EUR 9.5 billion in 2026 to EUR 9.8 billion in 2027. EBIT rises from EUR 687 million to EUR 878 million. This operating leverage is plausible only if Oulu and cyclical spreads improve; forest separation does not repair industrial margins. Industrial disappointment does not erase the forest estate, but it can consume cash and preserve the conglomerate discount.

ANALYTICAL ANCHOR

The investment case has two requirements: forest value must become observable, and Oulu must become economically productive.

08.1

Forest and Land Assets

Business division deep dive — Backed profit engine.

SIZE OF THE PRIZE: PRODUCTIVE FOREST LAND WITHIN AN INDUSTRIAL GROUP

Forest and Land Assets compete through ownership, growth and monetization of productive timberland, rather than conventional manufactured products. The downstream wood-and-timber-products market was approximately USD 992.4 billion in 2024 according to Grand View Research, but forest owners capture only stumpage and land value. The more relevant value lies in productive forest land and biological growth. Stora Enso reported total forest-asset fair value of EUR 8.5 billion at Q1 2026, close to the group's immutable EUR 10.885 billion EV. This is central to the valuation: after forest assets and senior claims, the market assigns only modest residual value to the industrial businesses.

The company owns more than 1.2 million hectares of Swedish forest land after selling 175,000 hectares in 2025. It also owns 41% of Tornator, whose 819,000 hectares across Finland, Estonia and Romania were valued at EUR 3.8 billion at year-end 2025. Stora Enso also has 50% stakes in Veracel and Montes del Plata joint operations managing more than 400,000 hectares in South America. Approximately 10 million cubic metres are harvested annually from Stora Enso's own forests and plantations. The asset base combines slow-growing Nordic land, equity-accounted holdings and faster-growing plantations. A single price per hectare cannot value all three accurately.

WHAT THE BASE VALUATION MUST CAPTURE

The target SOTP assigns EUR 7.2 billion to Forest and Land Assets, EUR 1.3 billion below the EUR 8.5 billion reported total fair value. This is a 15.3% discount. It allows for deferred tax, minority and ownership-structure complexity, wood-supply obligations, appraisal uncertainty, and the fact that monetizing every asset could hurt mill economics. The current EV allocation is EUR 4.9 billion, only 58% of reported fair value. The BUY case therefore needs no appraisal uplift. It requires the market to narrow a wide discount as the Swedish estate becomes separately listed.

As an operating cross-check, the SOTP values EUR 7.2 billion as EUR 600 million of modeled target-year EBITDA at 12.0x. This EBITDA is an analytical proxy for harvest contribution, biological growth, associated-company income and land-management earnings across the perimeter. It is not a company-reported standalone result. The multiple exceeds industrial packaging multiples because biological growth and land value are long-duration, asset-backed income streams. The report gives greater weight to the asset-value cross-check because internal wood transfers and fair-value accounting make forest operating earnings hard to reconstruct.

FOREST AND LAND ASSETS
FACT SHEET

BACKED PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 478m

MODEL ESTIMATE COMPARABLE EBIT
EUR 187m

TOTAL FOREST-ASSET FAIR VALUE
EUR 8.5bn at Q1 2026

SWEDISH ESTATE AFTER SALE
Over 1.2m hectares

REMAINING SWEDISH FAIR VALUE
Approximately EUR 5.6bn

TORNATOR OWNERSHIP
41% of EUR 3.8bn assets

ANNUAL OWN HARVEST
Approximately 10m m3

BASE TARGET EV
EUR 7.2bn

DEMERGER TIMING
Expected H1 2027

2025 TRANSACTION
175,000 ha for EUR 900m EV

08.1

Forest and Land Assets (continued)

Business division deep dive — Backed profit engine.

TRANSACTION EVIDENCE

Stora Enso sold approximately 175,000 hectares, equal to 12.4% of its former Swedish holdings, for SEK 9.8 billion or approximately EUR 900 million EV in September 2025. This implies about EUR 5,143 per hectare. Applying that price to 1.2 million remaining hectares gives roughly EUR 6.17 billion, close to but above the reported EUR 5.6 billion fair value of the remaining Swedish estate at 30 September 2025. The difference may reflect location, age class, productivity, encumbrances and rounding. The transaction validates the broad valuation range but shows that hectares are not homogeneous.

The sale included a 15-year wood-supply agreement with a possible 15-year extension. This matters because the price was not for fully uncommitted land, and the buyer received long-term commercial arrangements with the estate. A listed Bergslagens skogar will likewise need supply agreements with Stora Enso's mills. Such contracts can reduce commodity-price risk and support financing, but may transfer some wood-price upside to the industrial buyer. The key question is not simply whether EUR 5.6 billion exists, but how much economic rent remains with forest shareholders after supply terms.

PER-HECTARE BENCHMARKS AND WHY THEY CONFLICT

The Swedish Forest Agency reported a national average productive-forest price of SEK 87,500 per hectare for 2024 and a Götaland average of SEK 136,700. Both are above the approximately SEK 56,000 per hectare implied by Stora Enso's SEK 9.8 billion sale divided by 175,000 hectares. The gap is plausible because national and southern averages reflect different parcel sizes, productivity, species, accessibility and transaction mix. They are not grounds to mark Stora Enso's estate mechanically upward. The directly negotiated Stora Enso transaction carries the greatest weight because it prices part of the same estate under known supply obligations.

Historical growing stock was 150.5 million cubic metres in 2022, or 132 cubic metres per hectare, for the Swedish productive estate before the 2025 sale. Exact post-sale 2025 or 2026 growing stock is unavailable. Without age-class distribution and growth rates, a price-per-hectare approach can obscure large differences in near-term harvestability. The base case therefore does not derive a per-cubic-metre value for the remaining estate. A post-demerger prospectus should provide growing stock, annual increment, harvest plan and supply-contract disclosures for a more precise net-present-value model.

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Forest and Land Assets (continued)

Business division deep dive — Backed profit engine.

COMPETITIVE SCALE

- SCA: 2.7 million hectares across northern Sweden, Estonia, Latvia and Lithuania, described as Europe's largest private forest owner.
- Sveaskog: approximately 3 million hectares of productive Swedish forest, although the 13.3% share estimate comes from a weak secondary source and is not used in valuation.
- Bergslagens skogar: more than 1.2 million Swedish hectares expected at demerger.
- Holmen: more than 1 million hectares of forest-clad land in Sweden.
- UPM: 917,000 hectares across Finland, Uruguay and the United States at year-end 2025.
- Tornator: more than 800,000 hectares, with Stora Enso holding 41%.

Scale supports efficient harvesting, road networks, certification and long-term industrial contracts, but location and biological productivity matter more than rank. SCA's listed valuation includes renewable-power and industrial exposure as well as forests, while Holmen also combines paperboard, wood products and energy. Weyerhaeuser is a transparent timberland benchmark but operates under a North American REIT structure with different tax treatment and housing exposure. The peer group therefore informs discount rates and public-market appetite, not direct price-per-hectare comparisons.

OWNERSHIP STRUCTURE AND DEDUCTIONS

Tornator's reported EUR 3.8 billion forest value implies EUR 1.558 billion for Stora Enso's 41% interest before holding-company, liquidity or debt adjustments. The South American joint operations add valuable plantation exposure, but the source set provides no current stand-alone values for Veracel or Montes del Plata. The group reported deferred tax liabilities of EUR 1.416 billion at year-end 2024, though not all relate to forests. Deducting the full group balance from forest value would be too punitive, while ignoring tax would be too optimistic.

The EUR 1.3 billion discount from reported fair value to the EUR 7.2 billion base value covers these issues without implying false precision. At the low end, a 30% haircut to EUR 8.5 billion gives EUR 5.95 billion. At the high end, a clean separation near reported fair value gives EUR 8.5 billion. Relative to the base, these outcomes change group equity value by approximately EUR -1.25 billion or EUR +1.30 billion, equivalent to about EUR -1.59 or EUR +1.65 per share before secondary effects.

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Forest and Land Assets (continued)

Business division deep dive — Backed profit engine.

THE DEMERGER IS THE PRICE - DISCOVERY MECHANISM

Stora Enso plans to demerge the remaining Swedish forest assets into Bergslagens skogar and list the entity in H1 2027. Tuomas Hallenberg became president and CEO of the Swedish forest business on 1 January 2026, and the company adopted the Bergslagens Skogar name in May 2026. A dedicated Capital Markets Day is scheduled for 3 November 2026. These steps indicate an active separation process, rather than an exploratory review, though completion remains subject to documentation, approvals and market conditions.

A separately listed entity can disclose forest-specific leverage, harvest policy, biological growth, cost base and dividend capacity. It can also be compared directly with SCA, Holmen and timberland vehicles rather than valued at Stora Enso's industrial multiple. The demerger does not create biological value. It reduces information and governance discounts. It may also leave the residual industrial company more leveraged and less asset-backed, so the combined market value, not the forest listing alone, is the relevant test.

INTERACTION WITH THE MILLS

The forests provide fibre security to Consumer Packaging, Integrated Packaging, Biomaterials and Wood Products. Maximizing forest-company stumpage prices can reduce industrial margins, while below-market transfer prices shift value away from forest shareholders. Long-term contracts are needed to finance both entities, but their indexation will determine where cycle upside sits. The 2025 sale's 15-year agreement and possible extension provide a precedent for duration, not necessarily pricing.

A clean analytical split must eliminate internal wood sales. This report models only EUR 478 million of external and economically attributable forest revenue, the residual required after modeling the four industrial divisions against the EUR 9.3 billion group control total. It models EUR 187 million of comparable EBIT, including the EUR 1 million group reconciliation, because exact standalone forest and wood figures under the new reporting structure were not approved. These are report estimates, not reported segment figures. Forest valuation relies mainly on asset evidence rather than modeled revenue.

FOREST AND LAND ASSETS FACT SHEET

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08.1

Forest and Land Assets (continued)

Business division deep dive — Backed profit engine.

VALUATION, SENSITIVITY AND THESIS BREAKERS

Forest and Land Assets contribute EUR 7.2 billion of target EV, approximately 45% of target SOTP EV, making them the largest business division. The base falls within the EUR 5.95–8.5 billion reasonable range and below reported fair value. A 10% change in the EUR 7.2 billion base changes group value by EUR 720 million, or approximately EUR 0.91 per share. This sensitivity exceeds that of any individual industrial division, which is why the demerger timetable matters more to the target price than one quarter of packaging volume.

The valuation would fail if the prospectus showed materially lower growing stock or harvest capacity, supply agreements transferred most wood-price upside to Stora Enso, forest-specific debt and tax claims exceeded the EUR 1.3 billion base discount, or the demerger slipped beyond H1 2027 without another monetization route. It would rise if the listed entity approached the EUR 5.6 billion Swedish appraisal while Tornator and plantation interests retained separately observable value. The base requires neither national-average land prices nor full appraisal recognition. It requires a credible, financeable and transparent separation.

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FOREST SCALE, APPRAISAL REFERENCES AND LISTED COMPARATORS

OWNER/OPERATOR	FOREST SCALE	VALUE REFERENCE	OWNERSHIP OR STRUCTURE
Stora Enso/Bergslagets	>1.2m ha Sweden (2026)	EUR 5.6bn Sep-2025	Demerger expected H1 2027
SCA	2.7m ha (2025)	6.0x EV/Sales 2026E	Listed integrated owner
Holmen	>1.0m ha Sweden (2025)	2.4x EV/Sales 2026E	Listed forest/industry mix
UPM	917,000 ha (2025)	1.7x EV/Sales 2026E	Global integrated owner
Tornator	819,000 ha (2025)	EUR 3.8bn asset value	Stora Enso owns 41%
Weyerhaeuser	North American benchmark	11.8x EV/EBITDA 2026E	Timber REIT structure

08.2

Consumer Packaging

Business division deep dive — Profit engine.

SIZE OF THE PRIZE: FIBRE ADDRESSES A MUCH LARGER PACKAGING SPEND

Consumer Packaging competes for spend on consumer packs made from plastic, aluminium and fibre, not only the narrower liquid-packaging-board market. Towards Packaging estimated the global consumer-packaging market at USD 690.23 billion for 2025, while Maximize Market Research estimated USD 290.96 billion. The definitions differ too widely for direct valuation use. The more relevant replacement pool is plastic packaging, estimated at USD 480.62 billion for 2025 by Fortune Business Insights and USD 416.5 billion by Grand View Research. This report therefore treats approximately USD 417–481 billion as annual incumbent spend that fibre can address. It values the division using Stora Enso's disclosed mill capacity and expected sales, not market-share assumptions. Capturing 0.2% of the broad pool would imply close to USD 1 billion of revenue, but qualified saleable tonnes from existing assets are the real constraint.

The near-term addressable opportunity is more concrete. Future Market Insights estimates liquid packaging board growth of 7.5% annually during 2026–2036 and assigns Stora Enso an estimated 18% global share. Stora Enso describes itself as the global number-one supplier in liquid packaging board. It also reports number-one positions in European food-service board and coated unbleached kraft board, and number two in European folding boxboard. These positions support customer access and application knowledge, but do not prove that new Oulu grades will earn premium prices. The valuation assumes Stora Enso captures only the demand required to fill disclosed capacity, rather than extrapolating the broad substitution market into unlimited volume.

WHAT STORA ENSO MUST CAPTURE

The new Oulu BM6 line has 750,000 tonnes of annual capacity and is expected to generate approximately EUR 800 million of annual sales at full capacity by 2027. This implies EUR 1,067 of revenue per saleable tonne: EUR 800 million divided by 0.75 million tonnes. Against the USD 417–481 billion plastic-packaging pool, EUR 800 million is only around two-tenths of one percent before currency translation. Aggregate demand is therefore not the constraint. The line needs food, beverage and general-packaging qualifications sufficient to absorb 750,000 tonnes without moving down the price curve. The base case assumes approximately 85–90% saleable utilization during 2027, allowing for grade changes, customer qualifications and normal downtime.

CONSUMER PACKAGING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,510m

MODEL ESTIMATE COMPARABLE EBIT
EUR 129m

FY2025 ADJUSTED EBIT MARGIN
3.5% reported

MODELLED 2027 EBITDA
EUR 500m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

OULU BM6 CAPACITY
750,000 tonnes/year

OULU FULL-CAPACITY SALES
Approximately EUR 800m

IMPLIED OULU REVENUE PER TONNE
EUR 1,067, report estimate

MARKET POSITION
#1 LPB; #1 European FSB

CRITICAL UTILIZATION GATE
Full capacity by 2027

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

At 87.5% utilization, Oulu would sell roughly 656,000 tonnes. At the disclosed full-capacity revenue intensity of EUR 1,067 per tonne, this gives approximately EUR 700 million of annual revenue. About EUR 100 million of the stated opportunity remains for later utilization and mix improvement. The bull case assumes full-capacity output and the full EUR 800 million sales target. The bear case assumes 60–65% saleable utilization, or approximately 450,000–488,000 tonnes, with pricing pressure reducing revenue intensity below the disclosed full-capacity relationship. The case can therefore be reworked by changing utilization, saleable yield or realized revenue per tonne.

EXISTING POSITION AND COMPETITIVE REFERENCE POINTS

- Stora Enso: #1 globally in liquid packaging board and #2 in European folding boxboard, company position at Q1 2025.
- Metsä Board: 32% of European folding-boxboard capacity and 1.472 million tonnes of 2024 paperboard deliveries.
- Billerud: 3.5 million tonnes of 2025 group sales volume; its North American region reached a 20% Q4 2025 EBITDA margin.
- Graphic Packaging: estimated 5.98% share within the broadly defined Basic Materials sector in Q1 2026; the definition is not comparable with board capacity.
- Oulu BM6: 750,000 tonnes of annual capacity, equivalent to roughly half Metsä Board's 2024 paperboard deliveries.

The comparison shows that capacity alone is not a moat. Metsä Board's Simpele modernization cost only EUR 60 million, while Oulu's consumer-board conversion cost approximately EUR 1.1 billion. Valmet's EUR 1.7 billion figure covers both the earlier kraftliner phase and BM6, so the figures differ in scope rather than conflict. Oulu has scale and modern equipment, but incumbents have customer approvals and established grade portfolios. Stora Enso's Performa Nova claim of up to an 18% yield advantage versus North American solid bleached sulphate board is useful because customers buy packaging function, not tonnes. The advantage creates value only if converters validate runnability, print quality, stiffness and food-contact performance at industrial speed.

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EUR 3,510m

MODEL ESTIMATE COMPARABLE EBIT
EUR 129m

FY2025 ADJUSTED EBIT MARGIN
3.5% reported

MODELLED 2027 EBITDA
EUR 500m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

OULU BM6 CAPACITY
750,000 tonnes/year

OULU FULL-CAPACITY SALES
Approximately EUR 800m

IMPLIED OULU REVENUE PER TONNE
EUR 1,067, report estimate

MARKET POSITION
#1 LPB; #1 European FSB

CRITICAL UTILIZATION GATE
Full capacity by 2027

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

EVIDENCE FROM THE RAMP

Operations began in 2025, first commercial customer deliveries started during Q2, and the line was formally inaugurated on 18 August 2025. Stora Enso reported EBITDA breakeven by year-end, indicating that early variable contribution had become non-negative. The ramp still reduced Q4 2025 adjusted EBIT by EUR 31 million, so breakeven did not indicate an acceptable return on EUR 1.1 billion of incremental investment. Food-safety certification reduces a qualification barrier. The board line held FSSC 22000 certification from startup, and Oulu's pulp production obtained the same certification in June 2026. These milestones support the base case but do not disclose saleable yield, customer concentration or realized tonnes.

The Q2 2026 group adjusted EBIT margin was 6.6%, with Oulu ramp-up identified as a support. This is constructive but does not isolate BM6 economics, as lower costs and other conditions also affected group results. A scheduled Q3 maintenance burden is expected to be EUR 40–50 million higher than in Q2, which may obscure sequential progress. The key near-term test is not one quarter of group EBIT. It is whether Consumer Packaging reports higher volume, fewer quality-related interruptions and a rising margin despite lower emission-rights income. Income from emission rights is expected to fall to EUR 10–20 million in 2026 under revised EU ETS rules, removing a non-operating benefit that could otherwise flatter the ramp.

PRICE, COST AND MARGIN REQUIREMENTS

FY2025 restated Consumer Packaging sales were EUR 3.7 billion including internal sales and EUR 3.5 billion externally. Adjusted EBIT was EUR 129 million, producing a reported adjusted EBIT margin of 3.5%. This is well below the return a modern virgin-fibre board franchise needs through the cycle. Adjusted EBITDA was EUR 354 million, a 9.6% margin on segment sales. The difference between EBITDA and adjusted EBIT implies EUR 225 million of depreciation and amortization. EBITDA breakeven at Oulu is therefore only an intermediate milestone: the line must cover depreciation, maintenance capital, working capital and its cost of capital.

CONSUMER PACKAGING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,510m

MODEL ESTIMATE COMPARABLE EBIT
EUR 129m

FY2025 ADJUSTED EBIT MARGIN
3.5% reported

MODELLED 2027 EBITDA
EUR 500m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

OULU BM6 CAPACITY
750,000 tonnes/year

OULU FULL-CAPACITY SALES
Approximately EUR 800m

IMPLIED OULU REVENUE PER TONNE
EUR 1,067, report estimate

MARKET POSITION
#1 LPB; #1 European FSB

CRITICAL UTILIZATION GATE
Full capacity by 2027

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

This report models Consumer Packaging EBITDA of EUR 500 million in 2027. The EUR 146 million bridge from FY2025's EUR 354 million includes approximately EUR 110 million from Oulu volume and operating leverage, EUR 25 million from broader price, mix and cost execution, and EUR 11 million of net offsets from lower emission-rights income and normal maintenance. On external revenue of roughly EUR 3.8–4.0 billion, this implies a 12.5–13.2% EBITDA margin. The assumption is below Billerud North America's 20% Q4 2025 margin and does not require peak-cycle conditions. It does require Oulu to earn a double-digit EBITDA margin on most of its targeted EUR 800 million sales, rather than simply achieve cash breakeven.

REGULATION SUPPORTS DEMAND BUT CHANGES PRODUCT REQUIREMENTS

The EU Packaging and Packaging Waste Regulation became generally applicable across all 27 member states on 12 August 2026. It introduces harmonized packaging rules and a PFAS limit of 25 parts per billion for relevant food-contact packaging. Certain single-use plastic packs for under 1.5 kilograms of unprocessed fruit and vegetables are due to be prohibited from 2030. This may broaden the market for recyclable fibre packaging and barrier coatings where brand owners need alternatives to plastic. The regulation does not automatically create volume: packaging minimization, recyclability tests and maximum empty-space requirements can reduce material use per pack even as fibre gains share.

Stora Enso's Trayforma Brown launch and lower basis weights across the Trayforma range address this tension. Lower grammage can improve customer economics and reduce environmental impact, but tonnes may grow more slowly than package counts. The valuation uses mill-specific sales rather than a share of the regulatory market because it captures both effects. The upside is higher value per tonne from functional coatings and downgauging. The downside is that customers demand material savings but retain the benefit through lower prices. PPWR supports qualification activity, while price realization remains the key commercial variable.

VALUATION AND WHAT WOULD BREAK IT

Consumer Packaging is valued at EUR 3.0 billion in the target SOTP, based on EUR 500 million of modeled 2027 EBITDA at 6.0x. The multiple is below Stora Enso's normalized historical EV/EBITDA of 7.90x and the 2026 peer median of 9.3x, reflecting execution risk, capital intensity and the gap between EBITDA and EBIT. It is also close to Mayr-Melnhof's 6.2x 2026E EV/EBITDA, a conservative cartonboard reference. The current group EV allocation is EUR 2.1 billion. The target therefore requires approximately EUR 941.52 million of value creation through earnings delivery and lower execution risk.

CONSUMER PACKAGING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,510m

MODEL ESTIMATE COMPARABLE EBIT
EUR 129m

FY2025 ADJUSTED EBIT MARGIN
3.5% reported

MODELLED 2027 EBITDA
EUR 500m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

OULU BM6 CAPACITY
750,000 tonnes/year

OULU FULL-CAPACITY SALES
Approximately EUR 800m

IMPLIED OULU REVENUE PER TONNE
EUR 1,067, report estimate

MARKET POSITION
#1 LPB; #1 European FSB

CRITICAL UTILIZATION GATE
Full capacity by 2027

08.2

Consumer Packaging (continued)

Business division deep dive — Profit engine.

Three variables drive the value. Every EUR 50 million change in sustainable EBITDA changes division EV by EUR 300 million at 6.0x. A one-turn multiple change moves EV by EUR 500 million. A one-year delay to the 2027 earnings level reduces present value and raises the risk that new industry capacity meets the same demand. The thesis fails if saleable utilization remains below roughly 70%, realized revenue per tonne falls materially below the EUR 1,067 full-capacity relationship, or Consumer Packaging remains at a 3–5% EBIT margin after the ramp. Stable output near 650,000–750,000 tonnes, repeat customer orders and a double-digit EBITDA margin would support a move toward the 7.9x historical multiple.

CONSUMER PACKAGING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,510m

MODEL ESTIMATE COMPARABLE EBIT
EUR 129m

FY2025 ADJUSTED EBIT MARGIN
3.5% reported

MODELLED 2027 EBITDA
EUR 500m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

OULU BM6 CAPACITY
750,000 tonnes/year

OULU FULL-CAPACITY SALES
Approximately EUR 800m

IMPLIED OULU REVENUE PER TONNE
EUR 1,067, report estimate

MARKET POSITION
#1 LPB; #1 European FSB

CRITICAL UTILIZATION GATE
Full capacity by 2027

CONSUMER-BOARD COMPETITIVE REFERENCES AND DISCLOSED OPERATING EVIDENCE

OPERATOR	SCALE OR MARKET POSITION	PROFITABILITY REFERENCE	INVESTMENT OR PRODUCT SIGNAL
Stora Enso	750kt Oulu; #1 LPB (2025)	3.5% adj. EBIT margin (2025)	EUR 1.1bn BM6; full by 2027
Metsä Board	1.472mt deliveries (2024)	3.6% comp. op. margin (2024)	EUR 60m Simpele upgrade (2025)
Billerud	3.5mt group volume (2025)	20% NA EBITDA margin (Q4 2025)	Existing board qualification base
Graphic Packaging	5.98% broad-sector est. (Q1 2026)	Not comparable in source set	Converted-packaging exposure

08.3

Biomaterials

Business division deep dive — Commodity.

THE ADDRESSABLE SPEND IS PULP TODAY AND FOSSIL MATERIALS TOMORROW

Biomaterials currently earns mainly from market pulp, so its immediate market is global market pulp, estimated at USD 68.3 billion for 2025 by Dataintelo. Broader wood-pulp estimates are much larger and inconsistent: Expert Market Research gives USD 171.15 billion and IMARC USD 179.0 billion for 2025. These figures include integrated and product categories Stora Enso cannot address as merchant supply, so the valuation uses disclosed capacity and pulp-cycle economics. The longer-term replacement markets are far larger, at USD 533.59 billion for plastics and USD 700.10 billion for petrochemicals. Lignode and lignin applications are still too early to value as established earnings.

The division's reported softwood and fluff capacity was approximately 1.175 million tonnes annually in 2024–2025. Q3 2024 deliveries were 521,000 tonnes, suggesting that quarterly deliveries included other pulp exposures and joint-operation output, or that the capacity definition is narrower than total deliveries. The available evidence cannot fully reconcile the perimeter, so this report does not calculate a single utilization rate. It instead models EUR 400 million of 2027 EBITDA from existing pulp earnings, mix improvement and Skutskär fluff expansion, with no material earnings from Lignode.

COST-CURVE POSITION DECIDES THE CYCLE

Suzano's Q2 2026 average export net pulp price was USD 601 per tonne, while cash production cost excluding downtime was BRL 843 per tonne. The currencies prevent a direct spread comparison without an exchange-rate assumption, but the figures illustrate the low-cost benchmark Stora Enso faces. Suzano produces an estimated 30% of global market hardwood pulp and can influence marginal supply economics. Stora Enso's northern softwood, fluff and integrated-fibre mix earns different prices, but high wood and energy costs can still put marginal Nordic tonnes under pressure when Chinese demand weakens.

Stora Enso permanently closed Sunila pulp production in 2023, reducing annual market-pulp capacity by approximately 13%. In June 2026, it announced the permanent closure of softwood pulp production on Skutskär fibreline 3. It is also investing EUR 19 million to increase fluff-pulp capacity by around 10%, to approximately 440,000 tonnes annually by Q4 2027. This is economically sensible if fluff earns more stable hygiene demand and a premium to commodity softwood pulp. The key risk is that lost softwood contribution and transition costs arrive before the fluff expansion reaches saleable output.

BIOMATERIALS FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 1,233m

MODEL ESTIMATE COMPARABLE EBIT

EUR 185m

MODELLED 2027 EBITDA

EUR 400m

BASE VALUATION MULTIPLE

6.25x 2027E EBITDA

SOFTWOOD AND FLUFF CAPACITY

Approximately 1.175mt/year

Q3 2024 PULP DELIVERIES

521,000 tonnes

EXPORT PULP-PRICE REFERENCE

USD 601/t in Q2 2026

SKUTSKÄR FLUFF TARGET

440,000 t/year by Q4 2027

LIGNODE STATUS

Pilot plant operational

08.3

Biomaterials (continued)

Business division deep dive — Commodity.

COMPETITIVE REFERENCES

- Suzano: approximately 30% of global market hardwood pulp; Q2 2026 net export price USD 601 per tonne and cash cost BRL 843 per tonne.
- UPM Fibres North: EUR 915 million of H1 2026 sales and EUR 199 million of operating profit.
- Stora Enso: approximately 1.175 million tonnes of softwood and fluff capacity in 2024–2025; EUR 185 million adjusted EBIT in FY2025.
- International Paper and Georgia-Pacific: estimated combined 45% of US fluff-pulp capacity in 2025.
- Sappi: estimated 13% of global dissolving-pulp participation in 2025, a neighboring specialty benchmark.

UPM's H1 2026 Fibres North operating margin of approximately 21.7% provides an achievable Nordic reference, though business scope and accounting differ. Stora Enso's reconstructed Biomaterials revenue of EUR 1.2 billion and EUR 185 million adjusted EBIT imply approximately 15% EBIT margin. This shows that Biomaterials already generates meaningful profit rather than being solely an upside case. The target does not require a return to unusually strong pulp-cycle pricing.

LIGNODE REMAINS AN OPTION, NOT THE BASE VALUATION

The Lignode pilot plant at Sunila remains operational despite the pulp-production closure. Synthetic graphite, the incumbent anode-material market Lignode seeks to replace, was estimated at USD 8.20 billion in 2024. Stora Enso was also estimated to hold 13% of the lignin-based engineering-plastics market in 2025, but this does not establish commercial Lignode revenue or profitability. Bio-based and biodegradable plastics represent only about 0.5% of total plastics production, showing both large theoretical potential and the difficulty of scaling.

The evidence provides no full-scale commercialization timeline, contracted customer volume, revenue per tonne or required plant capital. A stand-alone option value would therefore not meet the requirement for auditable metric-times-multiple arithmetic. The SOTP includes only earnings already embedded in modeled Biomaterials EBITDA and treats successful Lignode commercialization as unpriced upside. A future valuation would require qualified cell performance, an offtake agreement, plant scale, unit cost and capital intensity.

VALUATION AND BREAKPOINTS

Biomaterials is valued at EUR 2.5 billion, based on EUR 400 million of modeled 2027 EBITDA at 6.25x. The multiple is above Suzano's 4.6x 2027E EV/EBITDA because Stora Enso has specialty fluff and integrated European assets, but below UPM's 8.5x and the 9.3x peer median. Current allocated EV is EUR 1.7 billion. The target uplift therefore requires approximately EUR 100–150 million of EBITDA growth from the FY2025 level implied by reported divisional EBIT and normal depreciation.

BIOMATERIALS FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
EUR 1,233m

MODEL ESTIMATE COMPARABLE EBIT
EUR 185m

MODELLED 2027 EBITDA
EUR 400m

BASE VALUATION MULTIPLE
6.25x 2027E EBITDA

SOFTWOOD AND FLUFF CAPACITY
Approximately 1.175mt/year

Q3 2024 PULP DELIVERIES
521,000 tonnes

EXPORT PULP-PRICE REFERENCE
USD 601/t in Q2 2026

SKUTSKÄR FLUFF TARGET
440,000 t/year by Q4 2027

LIGNODE STATUS
Pilot plant operational

08.3

Biomaterials (continued)

Business division deep dive — Commodity.

The valuation fails if Stora Enso loses cost competitiveness as low-cost hardwood supply expands, the USD 601 per tonne reference falls without offsetting wood-cost relief, or Skutskär restructuring disrupts fluff customers. It improves if fluff capacity reaches 440,000 tonnes by Q4 2027, UPM-like margins prove sustainable, or commercial Lignode evidence supports a separately auditable option. Every EUR 50 million EBITDA change alters division EV by EUR 312.5 million at the base multiple.

BIOMATERIALS FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 1,233m

MODEL ESTIMATE COMPARABLE EBIT

EUR 185m

MODELLED 2027 EBITDA

EUR 400m

BASE VALUATION MULTIPLE

6.25x 2027E EBITDA

SOFTWOOD AND FLUFF CAPACITY

Approximately 1.175mt/year

Q3 2024 PULP DELIVERIES

521,000 tonnes

EXPORT PULP-PRICE REFERENCE

USD 601/t in Q2 2026

SKUTSKÄR FLUFF TARGET

440,000 t/year by Q4 2027

LIGNODE STATUS

Pilot plant operational

PULP COST-CURVE, SPECIALTY MIX AND COMPETITIVE BENCHMARKS

OPERATOR	SCALE OR POSITION	COST/PROFIT REFERENCE	STRATEGIC SIGNAL
Stora Enso	1.175mt softwood/fluff	EUR 185m adj. EBIT (2025)	440kt fluff target Q4 2027
Suzano	~30% hardwood market pulp	BRL 843/t cash cost Q2 2026	Low-cost global benchmark
UPM Fibres North	EUR 915m sales H1 2026	EUR 199m op. profit H1 2026	Nordic margin reference
IP + Georgia-Pacific	45% US fluff capacity est.	Not available in source data	Established fluff incumbents

08.4

Integrated Packaging

Business division deep dive — Commodity.

THE PRIZE IS THE TRANSPORT -PACKAGING SYSTEM, NOT ONLY CONTAINERBOARD

Integrated Packaging competes for spending on corrugated boxes, transport packaging and some plastic transit formats. Global Market Insights valued global corrugated packaging at USD 224.6 billion in 2025, while Fortune Business Insights valued containerboard at USD 141.43 billion. The wider replacement pool is plastic packaging, estimated at USD 465.48–480.62 billion by Precedence Research and Fortune Business Insights, though only part is technically addressable by corrugated solutions. This report values the division using Stora Enso's modeled revenue and conversion economics, not a share of the global plastic market. Demand is sufficient; valuation depends on whether European capacity discipline allows producers to retain price increases.

European corrugated -market estimates also differ, at USD 77.4 billion for 2026 from Future Market Insights and USD 62.77 billion from Mordor Intelligence. The report uses neither figure directly because Stora Enso's product and geographic scope is narrower and its combined segment share is undisclosed. At modeled FY2025 revenue of EUR 2.3 billion, Stora Enso would represent only a low -single-digit share of either estimate. This fits its number -three position in European kraftliner, NSSC fluting and recycled containerboard, rather than leadership in converted boxes.

REQUIRED CAPTURE AND INDUSTRY BALANCE

The base case assumes revenue remains near EUR 2.3–2.5 billion while EBITDA reaches EUR 300 million in 2027. This implies a 12–13% EBITDA margin without major share gains. It requires a better spread between box and board prices and fibre, energy and logistics costs. Western European containerboard operating rates were only 82% in August 2025, versus 89% in North America, showing the excess -capacity problem. At this level of utilization, price increases can be offset by discounting unless closures remove enough marginal supply.

In March 2026, German recycled -containerboard prices rose EUR 40 per tonne, or approximately 6%, after cumulative declines of 15% from July 2025 through January 2026. Recovered -paper costs fell to approximately EUR 115 per tonne in Q1 2026 from EUR 189 in June 2025, creating a temporary spread benefit. Stora Enso reported improving profitability from lower variable costs, but durability depends on selling prices holding as recovered -paper costs normalize. The September 2026 EUR 100 per tonne kraftliner increase announced by SCA and the USD 100 per tonne initiatives from Smurfit Westrock are constructive, but do not prove realized net prices.

INTEGRATED PACKAGING FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
EUR 2,274m

MODEL ESTIMATE COMPARABLE EBIT
EUR 74m

MODELLED 2027 EBITDA
EUR 300m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

PRODUCT POSITION
#3 European containerboard grades

WESTERN EUROPE OPERATING RATE
82% in Aug-2025

RECYCLED -BOARD PRICE MOVE
+EUR 40/t in Mar-2026

RECOVERED -PAPER REFERENCE
EUR 115/t in Q1 2026

SEPTEMBER PRICE INITIATIVES
EUR/USD 100 per tonne

08.4

Integrated Packaging (continued)

Business division deep dive — Commodity.

COMPETITIVE CONDUCT

- Smurfit Westrock: estimated 13% of European containerboard and near 20% of European corrugated packaging in 2026.
- SAICA: estimated 10% of European containerboard in March 2026.
- Stora Enso: number three in Europe across kraftliner, NSSC fluting and recycled containerboard, company position at Q1 2025.
- Mondi: number one in European virgin containerboard, but its Corrugated Packaging EBITDA margin fell to 7.5% in H1 2026.
- International Paper: completed the GBP 5.8 billion DS Smith acquisition in January 2025 and announced an intended EMEA separation in January 2026.

Consolidation has not removed cyclicity. Smurfit Westrock's scale offers procurement and customer advantages, while the International Paper–DS Smith combination expands integrated converting exposure. However, an announced EMEA separation and continued price initiatives show that restructuring and return pressure remain widespread. Mondi's 7.5% H1 2026 corrugated EBITDA margin shows that even a leading virgin-board position cannot offset weak price-cost conditions. Stora Enso's smaller scale supports a discounted multiple unless its integrated mills and box plants show better regional density or specialization.

REGULATION IS MIXED RATHER THAN UNIFORMLY POSITIVE

PPWR became broadly applicable on 12 August 2026 and supports recyclable fibre formats. However, it also requires 40% of specified transport packaging to be reusable by 2030. Reuse can displace single-use corrugated volume in closed logistics loops. A separate 40% maximum empty-space ratio for e-commerce and grouped packaging reduces material per shipment. Fibre can gain share from plastic while total material intensity falls, making forecasts that assume package-count growth with unchanged material use too optimistic.

The division's best response is value-added design, right-sizing and integration, rather than maximizing containerboard tonnes. Corrugated conversion provides customer proximity and can retain some savings from optimized packaging. The risk is that large customers capture these savings through tenders while mills remain exposed to commodity board pricing. The valuation therefore assumes a recovery to respectable rather than peak EBITDA margins, with no premium for regulatory substitution.

INTEGRATED PACKAGING FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
EUR 2,274m

MODEL ESTIMATE COMPARABLE EBIT
EUR 74m

MODELLED 2027 EBITDA
EUR 300m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

PRODUCT POSITION
#3 European containerboard grades

WESTERN EUROPE OPERATING RATE
82% in Aug-2025

RECYCLED-BOARD PRICE MOVE
+EUR 40/t in Mar-2026

RECOVERED-PAPER REFERENCE
EUR 115/t in Q1 2026

SEPTEMBER PRICE INITIATIVES
EUR/USD 100 per tonne

08.4

Integrated Packaging (continued)

Business division deep dive — Commodity.

VALUATION AND FAILURE CONDITIONS

The target SOTP assigns EUR 1.8 billion to Integrated Packaging, based on EUR 300 million of modeled 2027 EBITDA at 6.0x. This is below the 2026 peer median of 9.3x and Smurfit Westrock's 9.1x, but near Mayr-Melnhof's 6.2x and below Stora Enso's normalized 7.90x. The discount reflects low utilization, uncertain realized prices and reconstructed rather than approved standalone division revenue. Current EV allocation is EUR 1.2 billion, equal to 4.1x target-year EBITDA and already reflecting a weak cycle.

Every EUR 25 million of EBITDA is worth EUR 150 million at the selected multiple. The base case fails if operating rates remain close to 82%, announced increases are given back through discounts, or recovered-paper and energy inflation rise before end-market demand recovers. It succeeds if closures offset additions, the EUR 100 per tonne initiatives deliver meaningful net price, and corrugated conversion protects spread. Unlike Oulu, this is not a binary technology ramp. It is a cyclical recovery whose timing may slip by several quarters without permanently impairing the assets.

INTEGRATED PACKAGING FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
EUR 2,274m

MODEL ESTIMATE COMPARABLE EBIT
EUR 74m

MODELLED 2027 EBITDA
EUR 300m

BASE VALUATION MULTIPLE
6.0x 2027E EBITDA

PRODUCT POSITION
#3 European containerboard grades

WESTERN EUROPE OPERATING RATE
82% in Aug-2025

RECYCLED-BOARD PRICE MOVE
+EUR 40/t in Mar-2026

RECOVERED-PAPER REFERENCE
EUR 115/t in Q1 2026

SEPTEMBER PRICE INITIATIVES
EUR/USD 100 per tonne

EUROPEAN CONTAINERBOARD AND CORRUGATED COMPETITIVE BALANCE

OPERATOR	EUROPEAN POSITION	2026 PROFITABILITY SIGNAL	PRICING OR PORTFOLIO ACTION
Stora Enso	#3 in key board grades (2025)	Lower variable costs helped Q2	Integrated segment from Jan-2026
Smurfit Westrock	13% board; near-20% corrugated	9.1x EV/EBITDA 2026E	USD 100/t hike Sep-2026
SAICA	10% containerboard est. (2026)	Not available in source data	Private integrated operator
Mondi	#1 virgin board (2026)	7.5% corrugated EBITDA H1	Weak price-cost spread
International Paper	Expanded through DS Smith	5.5% EBIT margin 2026E	EMEA separation intended

08.5

Wood Products and Building Solutions

Business division deep dive — Cyclical industrial profit engine.

THE PRIZE IS CONSTRUCTION MATERIAL SUBSTITUTION

Wood products compete in a global wood-and-timber-products market estimated at USD 1.05 trillion for 2025. Engineered wood also addresses some construction activity served by concrete and steel. Grand View Research estimated the concrete market at USD 1.82 trillion for 2024 and Precedence Research estimated steel at USD 1.63 trillion for 2025. Only a small structural share is technically substitutable, so these trillion-dollar figures provide context rather than valuation inputs. The immediate engineered-wood market is much smaller: published 2025 CLT estimates range from USD 1.35 billion to USD 2.10 billion because definitions and geographic coverage differ.

Stora Enso's revenue is not separately reported under the 2026 structure. This report models FY2025 division revenue at EUR 1.8 billion by applying 4.45 million cubic metres of reported 2024 production to the disclosed Q1 2024 unit-revenue reference of EUR 411.55 per cubic metre. Using a prior-period unit price is imperfect but auditable and avoids assigning earned revenue to another division. Applying the disclosed operational EBIT loss of EUR 10.61 per cubic metre to the same volume gives approximately EUR 47 million of modeled adjusted EBIT loss.

SCALE DOES NOT GUARANTEE RETURNS

Stora Enso described itself as Europe's largest sawn-wood producer, with 4.45 million cubic metres of 2024 production. Timber-Online placed Binderholz at 4.5 million cubic metres for 2024 and projected 5.02 million for 2025, conflicting with the leadership claim. This report gives greater weight to production figures than either ranking. The two companies were broadly similar in 2024, and Binderholz may have moved ahead. Rank has limited valuation relevance while unit EBIT remains negative.

Engineered wood provides the structural growth opportunity. Stora Enso reports a 10–13% global CLT share, and Fortune Business Insights forecasts 14.4% annual CLT market growth during 2026–2034. According to Built by Nature, mass timber can reduce embodied carbon by up to 73% versus conventional concrete-and-steel structures. The EU's recast Energy Performance of Buildings Directive will require life-cycle climate-footprint disclosure for new buildings above 1,000 square metres from 2028, potentially improving timber's value proposition. However, rapid growth from a small base cannot quickly offset weak sawmill economics.

WOOD PRODUCTS AND BUILDING SOLUTIONS FACT SHEET

CYCLICAL INDUSTRIAL PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 1,831m

MODEL ESTIMATE COMPARABLE EBIT

EUR -47m

MODELLED FY2025 REVENUE

EUR 1,831m

REVENUE DERIVATION

4.45m m3 × EUR 411.55/m3

MODELLED FY2025 ADJUSTED EBIT

EUR -47m

MODELLED 2027 EBITDA

EUR 170m

BASE VALUATION MULTIPLE

8.033x 2027E EBITDA

EUROPEAN PRODUCTION SCALE

4.45m m3 in 2024

CLT SHARE

10–13% globally

STRATEGIC-REVIEW PERIMETER

50% of former segment sales

08.5

Wood Products and Building Solutions (continued)

Business division deep dive — Cyclical industrial profit engine.

PORTFOLIO ACTION IS THE NEAR-TERM DETERMINANT

Stora Enso began a strategic review of seven Central European sawmills and three CLT mills, representing approximately 50% of former Wood Products sales. The outcome was unavailable as of the report date. A sale could crystallize value and reduce earnings volatility, but buyers will reflect weak construction demand and maintenance-capital needs. Retaining the assets could preserve upside from a European building recovery, but would keep capital tied to loss-making operations.

The EUR 9 million automated coating-line investment at Ybbs shows that selected CLT assets continue to receive capital. This is sensible if coatings increase prefabrication value and simplify installation, but the investment is too small to determine group value. The main question is whether management can separate advantaged engineered-wood capacity from commodity sawmills, whose returns depend largely on log and lumber spreads. The model assumes restructuring and a construction recovery lift EBITDA to EUR 170 million in 2027, equal to about 9% of modeled revenue.

COMPETITIVE AND VALUATION FRAME

- Stora Enso: 4.45 million m3 of 2024 production; modeled EUR -10.61 EBIT per m3 using disclosed unit economics.
- Binderholz: 4.5 million m3 in 2024 and 5.02 million projected for 2025.
- Weyerhaeuser: 11.8x 2026E EV/EBITDA and 15.4% 2026E EBIT margin, but with North American REIT economics.
- West Fraser: estimated 10% of the global lumber market in 2025.
- Stora Enso CLT: 10–13% global share, providing differentiation beyond commodity lumber.

WOOD PRODUCTS AND BUILDING SOLUTIONS FACT SHEET

CYCLICAL INDUSTRIAL PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 1,831m

MODEL ESTIMATE COMPARABLE EBIT

EUR -47m

MODELLED FY2025 REVENUE

EUR 1,831m

REVENUE DERIVATION

4.45m m3 × EUR 411.55/m3

MODELLED FY2025 ADJUSTED EBIT

EUR -47m

MODELLED 2027 EBITDA

EUR 170m

BASE VALUATION MULTIPLE

8.033x 2027E EBITDA

EUROPEAN PRODUCTION SCALE

4.45m m3 in 2024

CLT SHARE

10–13% globally

STRATEGIC-REVIEW PERIMETER

50% of former segment sales

08.5

Wood Products and Building Solutions (continued)

Business division deep dive — Cyclical industrial profit engine.

The target SOTP assigns EUR 1.4 billion of EV, based on EUR 170 million of modeled 2027 EBITDA at 8.033x. This is below Weyerhaeuser's 11.2x 2027E multiple and close to Stora Enso's normalized 7.90x, while allowing for a strategic review that could produce a cleaner perimeter. Current allocated EV is EUR 936.24 million. If EBITDA reaches only EUR 100 million, the same multiple gives roughly EUR 803 million. If a stronger construction recovery produces EUR 220 million, value rises to approximately EUR 1.77 billion.

The thesis fails if the strategic review ends without either proceeds or a credible turnaround, construction remains weak and log costs do not adjust, or CLT growth does not produce positive unit margins. It improves if divestment proceeds exceed the current allocated EV for the reviewed perimeter, operational EBIT per cubic metre becomes positive, or life-cycle regulation creates measurable order growth. The division is not central to BUY, but portfolio action could reduce the group's discount.

WOOD PRODUCTS AND BUILDING SOLUTIONS FACT SHEET

CYCLICAL INDUSTRIAL PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 1,831m

MODEL ESTIMATE COMPARABLE EBIT

EUR -47m

MODELLED FY2025 REVENUE

EUR 1,831m

REVENUE DERIVATION

4.45m m3 × EUR 411.55/m3

MODELLED FY2025 ADJUSTED EBIT

EUR -47m

MODELLED 2027 EBITDA

EUR 170m

BASE VALUATION MULTIPLE

8.033x 2027E EBITDA

EUROPEAN PRODUCTION SCALE

4.45m m3 in 2024

CLT SHARE

10–13% globally

STRATEGIC-REVIEW PERIMETER

50% of former segment sales

WOOD-PRODUCTS SCALE, UNIT ECONOMICS AND PORTFOLIO POSITIONING

OPERATOR	PRODUCTION OR SHARE	UNIT/PROFIT REFERENCE	PORTFOLIO SIGNAL
Stora Enso	4.45m m3 (2024)	EUR -10.61 EBIT/m3 ref.	Review covers 50% of sales
Binderholz	4.5m m3 (2024)	Not available in source data	5.02m m3 projected 2025
Weyerhaeuser	North American timber benchmark	15.4% EBIT margin 2026E	11.8x EV/EBITDA 2026E
West Fraser	10% global lumber est. (2025)	Not available in source data	Global lumber competitor

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Forest integration reduces fibre-security risk but can obscure economics. Higher internal wood prices help Forest and hurt mills. The demerger requires arm's-length supply contracts, and their indexation will determine where cycle upside is reported.

Consumer Packaging has absorbed the largest recent growth capital. Oulu must therefore support group deleveraging before optional Biomaterials or Wood Products investments can expand. Forecast FCFF of only EUR 65 million in 2026 leaves little room for simultaneous operating setbacks.

Packaging and pulp share exposure to wood, energy, logistics and maintenance. Pulp or wood closures can release fibre, while packaging growth increases internal demand. Portfolio sales can reduce volatility but may also reduce integration benefits and purchasing scale.

BRIDGE MECHANICS

The target values each division on its own 2027 EBITDA and multiple, cross-checks forests against reported fair value, then deducts exactly EUR 3.5 billion of net debt and EUR 100 million of other senior claims.

The current EUR 10.9 billion EV equals 7.63x 2026 EBITDA and 15.84x EBIT. These headline multiples look high because 2026 EBIT is depressed. Yet current EV is only 69% of the EUR 15.9 billion target SOTP.

The reverse valuation requires 2026 EBITDA of EUR 1.1 billion and 2027 EBITDA of EUR 1.1 billion, versus maintained forecasts of EUR 1.4 billion and EUR 1.7 billion. It also assumes negative FCFF in both years. The market is pricing another earnings relapse before recovery.

The 2026 peer median is 9.3x EV/EBITDA, while Stora Enso's normalized historical average is 7.90x. The SOTP does not apply the peer median across the group. Industrial divisions use 6.0–8.0x, while forests use a 12.0x operating proxy and a discounted appraisal cross-check.

The target is close to the EUR 16.1 indication from the ROE/P/BV curve. This agreement is supportive rather than decisive. The SOTP remains more useful because a group book multiple cannot distinguish productive forest assets from low-return mill capital.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear: Oulu remains below roughly 65% saleable utilization, European containerboard utilization stays weak, pulp pricing declines, and forest separation is delayed or faces larger tax and supply-contract deductions. Group revenue remains at EUR 9.5 billion, while EBITDA falls to EUR 1.1 billion and margin to 12.1%, matching the reverse-valuation starting point. Forest is valued near the low end of the haircut range, with no multiple rerating.

Base: Oulu reaches roughly 85–90% saleable utilization during 2027, packaging price-cost spreads normalize, Biomaterials benefits from fluff mix, and the forest demerger proceeds broadly on schedule. Revenue reaches EUR 9.8 billion, EBITDA EUR 1.7 billion and margin 16.9%. Net debt remains EUR 3.6 billion in the operating forecast, but the valuation uses the locked EUR 3.5 billion bridge.

Bull: Oulu reaches full capacity with approximately EUR 800 million of sales, containerboard price initiatives hold, Biomaterials approaches Nordic peer margins, and Wood Products benefits from a successful sale or construction recovery. Revenue reaches approximately EUR 10.3 billion and EBITDA EUR 2.1 billion, which is a 20.3% margin. Stronger cash generation reduces scenario net debt rather than carrying the base balance unchanged.

The scenarios are deliberately asymmetric. The bear case reflects limited forest recognition and the market-implied industrial setback. The bull case reflects high Oulu utilization and forest transparency. Neither assumes material Lignode commercialization because the evidence lacks auditable scale economics.

BOTTOM LINE

Stora Enso is not cheap because near-term earnings are high. It is cheap if reported forest value survives separation deductions and Oulu converts sunk capital into acceptable returns. The EUR 15.50 target discounts both assets and execution, but depends on 2026–2027 operating evidence. Portfolio managers who reject the target can still use the framework. Watch Oulu saleable utilization, forest prospectus deductions, containerboard operating rates and pulp cost position, as these four variables explain most of the equity-value range.

FINANCIAL BRIDGE · PART 1

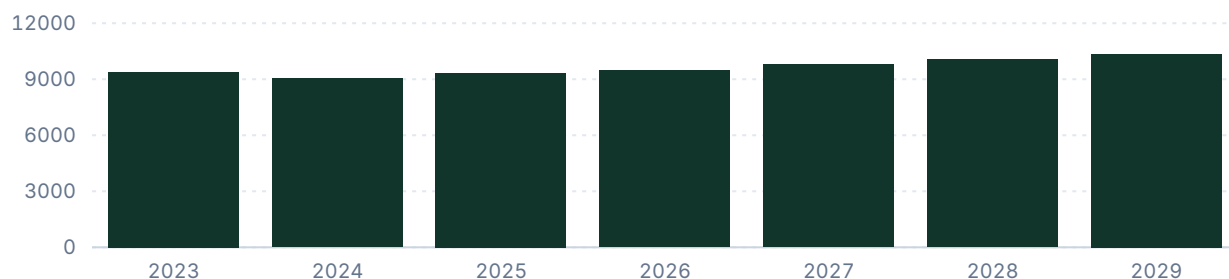
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

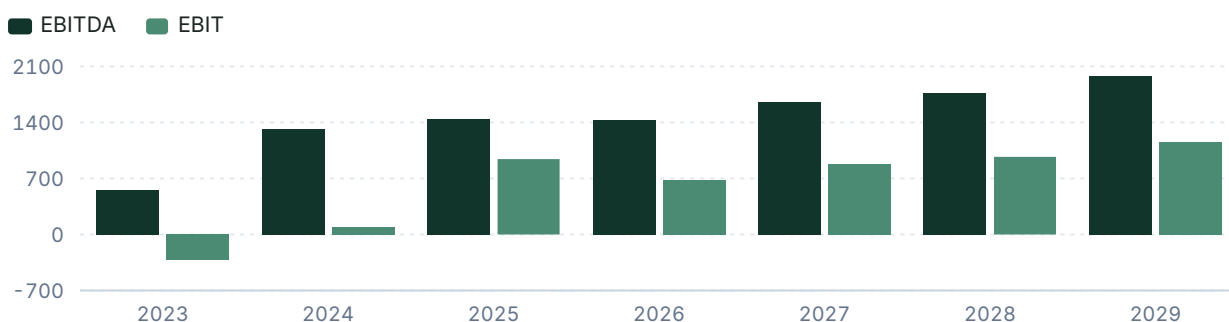
Net sales

EUR millions



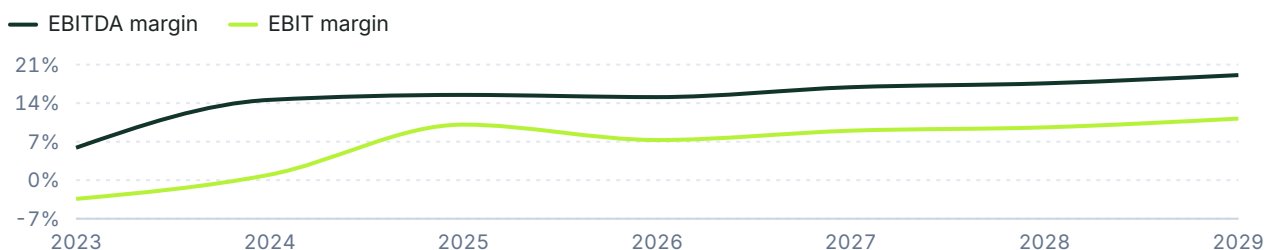
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

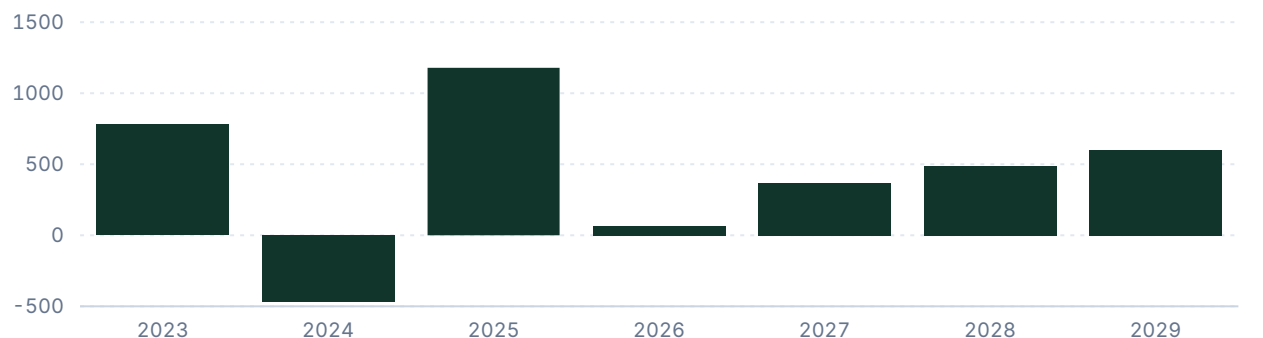
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

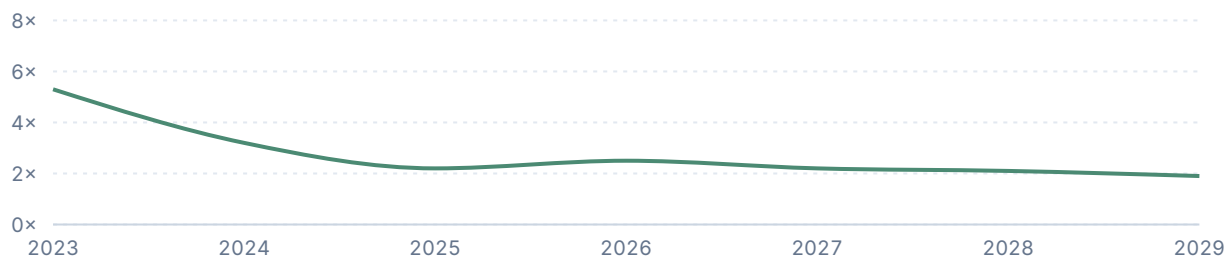
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	9,326	9,476	9,797	10,058	10,347
EBITDA	1,449	1,427	1,651	1,769	1,977
Comparable EBIT	942	687	878	970	1,157
Net Earnings	686	372	486	551	688
EPS (EUR)	0.9	0.5	0.6	0.7	0.9
DPS (EUR)	0.3	0.4	0.5	0.6	0.7

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is required because appraised forests, ramping consumer board, cyclical packaging, pulp and loss-making wood assets do not deserve one group multiple. Industrial parts use 6.0–8.033x 2027E EBITDA, below the 9.3x peer median and around the 7.90x normalized history; forests use 12.0x modeled EBITDA and a discounted EUR 8.5 billion appraisal cross-check.

The parts receive 100% weight. Sensitivity uses 2027 group EBITDA as a compact cross-check: a 10% earnings change or one multiple turn materially changes equity because senior claims are fixed.

What the market is pricing.

The market EV of EUR 10.9 billion is EUR 5 billion below the base SOTP. Holding the four industrial parts at base value leaves only EUR 3.2 billion for forests, or 44.7% of the EUR 7.2bn base and 37.9% of reported fair value. Alternatively, holding forests at EUR 7.2bn implies only EUR 3.7 billion for all industrial parts, 57.5% of their base value.

The market assumes Only about 38% of reported forest fair value is reflected after assigning base industrial values. We assign a different reading: A EUR 7.2bn forest value already applies a 15.3% haircut to the EUR 8.5bn Q1 2026 appraisal; the H1 2027 demerger can expose more of that value. (Stora Enso, Q1 forest update, 7 May 2026; demerger materials, 7 May 2026)

The market assumes 2027 EBIT falls to EUR 286m before a slow recovery. We assign a different reading: The maintained model forecasts EUR 878m as Oulu approaches full capacity; even partial delivery materially exceeds the reverse case. (Stora Enso, Oulu full-capacity guidance, 23 July 2026)

HISTORICAL AND FORECAST MULTIPLES								NORM. AVG. 2020-2025 (OUTLIERS DROPPED)
METRIC	2020A	2021A	2022A	2023A	2024A	2025A	2026E	
P/E	20.04x	10.03x	6.75x	-22.93x	-41.89x	12.31x	20.03x	12.28x
P/E adj.	20x	10x	7x	-23x	-42x	12x	20x	12x
EV/EBITDA	10.44x	7.16x	4.98x	22.89x	8.93x	8.00x	7.63x	7.90x
EV/EBIT	16.77x	9.67x	6.33x	-39.52x	127.18x	12.30x	15.84x	11.27x
EV/Sales	1.81x	1.49x	1.09x	1.35x	1.31x	1.24x	1.15x	1.38x
P/FCF	-262.20x	58.89x	-108.97x	12.68x	-16.35x	7.16x	113.93x	9.92x
P/BV	1.40x	1.19x	0.83x	0.90x	0.76x	0.78x	0.68x	0.98x
P/S	1.44x	1.25x	0.89x	1.05x	0.85x	0.91x	0.79x	1.06x
Dividend yield	1.9%	1.9%	4.2%	4.8%	2.1%	2.3%	4.0%	2.5%

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2026E EBIT MARGIN	2026E P/BV
Stora Enso	7.63x	7.3%	0.68x
UPM	7.7x	11.4%	1.3x
Holmen	10.0x	17.6%	0.9x
SCA	16.2x	26.8%	0.8x
Mayr-Melnhof	6.2x	4.9%	0.6x
Smurfit Westrock	9.1x	8.7%	1.1x
International Paper	9.5x	5.5%	1.9x
Suzano	4.6x	27.5%	0.3x
Weyerhaeuser	11.8x	15.4%	1.6x
Peer median	9.3x	11.4%	1.0x

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Consumer Packaging	2027E Modelled EBITDA	500	6.0x	3.8 EUR	
· Integrated Packaging	2027E Modelled EBITDA	300	6.0x	2.3 EUR	
· Biomaterials	2027E Modelled EBITDA	400	6.3x	3.2 EUR	
· Wood Products and Building Solutions	2027E Modelled EBITDA	170	8.0x	1.7 EUR	
· Forest and Land Assets	2027E Modelled EBITDA ...	600	12.0x	9.1 EUR	
Sum of the parts	2027E Sum of division en...	n/a	n/a	15.8 EUR	100%
Weighted target price				15.8 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

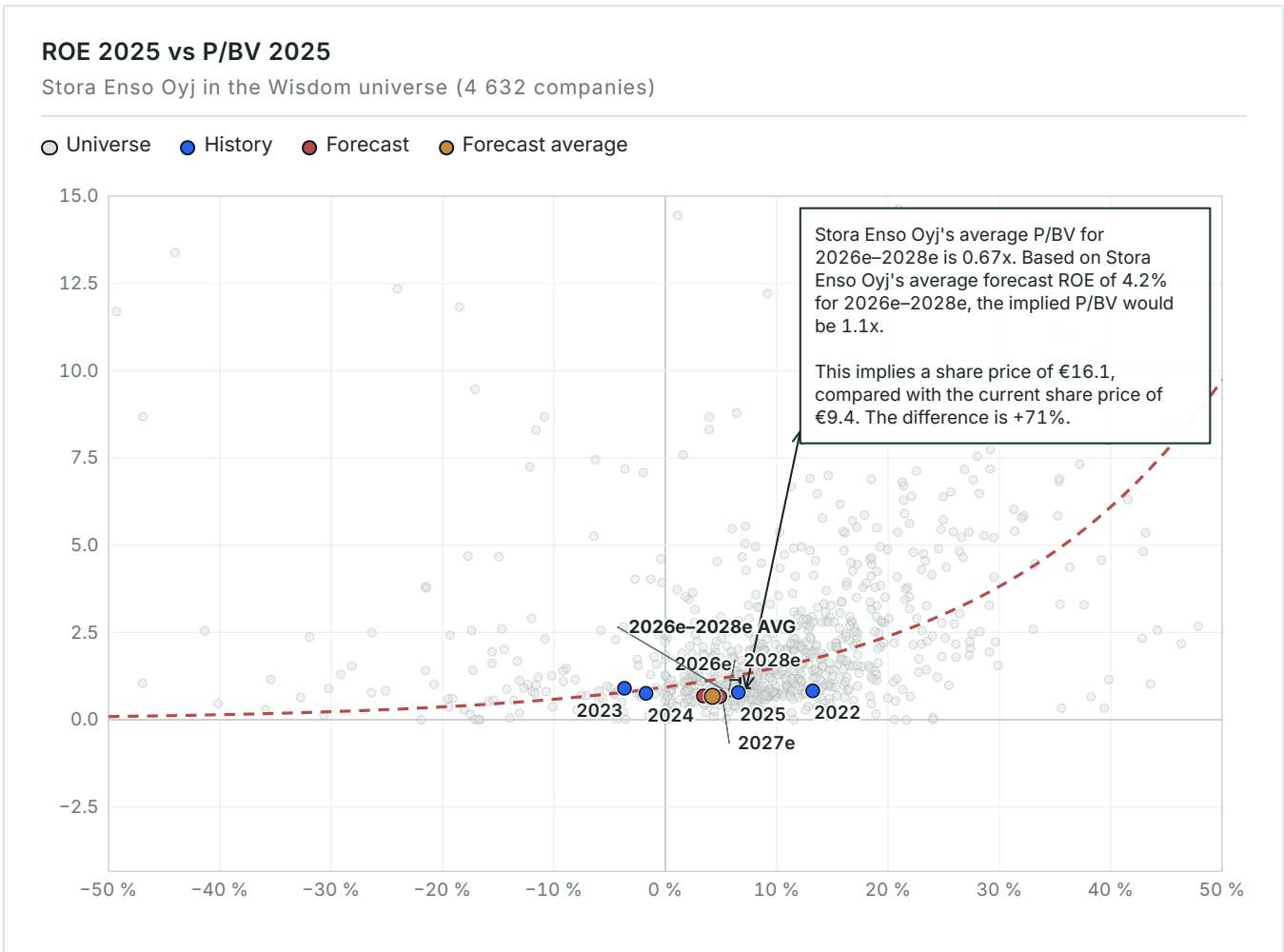
2027E EBITDA	7.6X	8.6X	9.6X	10.6X	11.6X
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VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Stora Enso's 2026–2028 average forecast ROE of 4.2% and P/BV of 0.7x place it below the 1.1x P/BV implied by the 4,632-company universe curve. Applying the curve to average forecast book value of EUR 14.1 per share indicates EUR 16.1, 71% above EUR 9.44. This supports the SOTP target but should not stand alone: low returns can persist, and forest accounting makes book-value comparisons imperfect.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	20.0×
EV/EBITDA	7.6×
EV/EBIT	15.8×
P / Valuatum FOCF	113.9×
P/BV	0.7×
Dividend Yield	4.0%
Net Debt / EBITDA	2.5×

EBITDA × EV/EBITDA sensitivity					
FY2027E GROUP					
EBITDA PROXY					
Implied group					
EV/EBITDA →					
	7.6×	8.6×	9.6×	10.6×	11.6×
-20%					
EUR 1,141m	EUR 8,672m EUR 6.60 / sh	EUR 9,813m EUR 8.10 / sh	EUR 10,954m EUR 9.50 / sh	EUR 12,095m EUR 11.00 / sh	EUR 13,236m EUR 12.40 / sh
-10%					
EUR 1,284m	EUR 9,758m EUR 8.00 / sh	EUR 11,042m EUR 9.60 / sh	EUR 12,326m EUR 11.30 / sh	EUR 13,610m EUR 12.90 / sh	EUR 14,894m EUR 14.50 / sh
Base					
EUR 1,427m	EUR 10,845m EUR 9.40 / sh	EUR 12,272m EUR 11.20 / sh	EUR 13,699m EUR 13.00 / sh	EUR 15,126m EUR 14.80 / sh	EUR 16,553m EUR 16.60 / sh
+10%					
EUR 1,569m	EUR 11,924m EUR 10.80 / sh	EUR 13,493m EUR 12.70 / sh	EUR 15,062m EUR 14.70 / sh	EUR 16,631m EUR 16.70 / sh	EUR 18,200m EUR 18.70 / sh
+20%					
EUR 1,712m	EUR 13,011m EUR 12.10 / sh	EUR 14,723m EUR 14.30 / sh	EUR 16,435m EUR 16.50 / sh	EUR 18,147m EUR 18.60 / sh	EUR 19,859m EUR 20.80 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	9,476	1,143	12.1%	8.2×	9,373	5,930	EUR 7.52	-20.3%
Base	9,797	1,651	16.9%	9.6×	15,866	12,424	EUR 15.75	+66.9%
Bull	10,350	2,100	20.3%	10.5×	22,050	18,608	EUR 23.60	+150.0%

KEY CONDITIONS

Bear requires Oulu utilization below 65%, weak pulp and containerboard spreads, and forest value near the 30% haircut endpoint. Base requires 85–90% Oulu utilization, EUR 1.7 billion of group EBITDA and an H1 2027 forest separation. Bull requires full Oulu capacity, successful packaging price initiatives, higher wood-product returns and stronger cash generation that reduces net debt. These are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of EUR 15.8 sits between Base and Bull: Bear EUR 7.5, Base EUR 15.8, Bull EUR 23.6. Its method weights are shown in the Target Price Bridge.

THESIS BREAKER

Oulu underperformance combined with a materially impaired or delayed forest demerger would invalidate the base SOTP.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Q3 maintenance and Oulu ramp update	NEAR-TERM	Consumer Packaging	Saleable volume and margin despite EUR 40–50m shutdown step-up	Tests EUR 500m 2027 EBITDA assumption
Bergslagets skogar Capital Markets Day	NEAR-TERM	Forest and Land Assets	Growing stock, harvest plan, debt, tax and supply terms	Narrows EUR 5.95–8.5bn range
European kraftliner price realization	NEAR-TERM	Integrated Packaging	Net realized price after EUR 100/t initiatives	Confirms or rejects spread recovery
Central European wood strategic-review outcome	MEDIUM-TERM	Wood Products and Building Solutions	Sale proceeds, retained perimeter and restructuring cost	Could crystallize or impair EUR 1.37bn EV
Skutskär fluff-capacity ramp	MEDIUM-TERM	Biomaterials	Progress toward 440,000 t/year by Q4 2027	Supports EUR 400m EBITDA
Bergslagets skogar de-merger completion	MEDIUM-TERM	Forest and Land Assets	Separate listing completed in H1 2027	Primary value-discovery event
Oulu reaches full production capacity	MEDIUM-TERM	Consumer Packaging	750,000 tonnes and approximately EUR 800m sales	Could justify higher than 6.0x
READ - THROUGH The November 2026 Bergslagets skogar Capital Markets Day is the key disclosure event. It should provide detail on growing stock, harvestability, debt, tax and supply-contract terms. Completion in H1 2027 could then turn appraisal evidence into public price discovery. Oulu reaching full capacity and Skutskär reaching 440,000 tonnes of fluff capacity are the main medium-term operating catalysts.				

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Oulu saleable-quality ramp stalls	Consumer Packaging	Low yield and utilization prevent fixed-cost absorption and force discounting	Repeated outages, delayed qualifications or utilization below 70%	HIGH	THESIS BREAKER
Forest deductions exceed base haircut	Forest and Land Assets	Tax, debt and supply obligations reduce distributable appraisal value	CMD discloses weak harvest or onerous transfer pricing	HIGH	STRUCTURAL
European packaging overcapacity persists	Consumer Packaging	Low operating rates prevent price increases and depress utilization	Price initiatives fail while operating rates remain near 82%	HIGH	MANAGEABLE
Pulp price falls faster than wood costs	Forest and Land Assets	Delivered pulp spread contracts and mills curtail production	Export price below USD 601/t without fibre-cost relief	HIGH	MANAGEABLE
Construction recovery is delayed	Wood Products and Building Solutions	Sawmills remain loss-making and strategic-review proceeds disappoint	Negative EBIT per m3 persists through 2027	MEDIUM	MANAGEABLE
Cash conversion remains weak	Biomaterials	High capex and working capital keep net debt elevated despite EBITDA growth	FCFF remains near zero after 2026	HIGH	THESIS BREAKER
PPWR reduces material intensity	Consumer Packaging	Reuse, right-sizing and downgauging offset fibre share gains	Package counts rise but tonnes and price per pack fall	MEDIUM	STRUCTURAL
READ - THROUGH Cyclical risks should be tracked through spreads and operating rates, rather than market-size forecasts. Pulp price relative to delivered wood cost, containerboard net price relative to recovered paper and energy, and wood-product EBIT per cubic metre provide earlier warnings than group revenue. Structural risks lie in forest supply contracts and PPWR's material-reduction provisions.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	9,396	9,049	9,326	9,476	9,797	10,058
EBITDA	556	1,324	1,449	1,427	1,651	1,769
EBITDA margin	5.9%	14.6%	15.5%	15.1%	16.9%	17.6%
Depreciation	-878	-1,231	-507	-739	-773	-799
Operating Profit (EBIT)	-322	93	942	687	878	970
EBIT margin	-3.4%	1.0%	10.1%	7.3%	9.0%	9.6%
Net financial items	-173	-211	-159	-201	-221	-225
Pre-tax Profit	-495	-118	783	487	657	745
Net Earnings	-431	-183	686	372	486	551
PER SHARE						
EPS	-0.6	-0.2	0.9	0.5	0.6	0.7
DPS	0.6	0.2	0.3	0.4	0.5	0.6
Payout ratio	-109.8%	-86.2%	28.7%	80.0%	80.0%	80.0%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	7,135	7,489	7,122	7,449	7,701	7,906
Intangibles	392	350	295	300	310	318
Goodwill	505	162	171	171	171	171
Non-current assets	14,565	14,877	14,858	15,189	15,451	15,665
Inventories	1,413	1,585	1,802	1,771	1,831	1,880
Receivables	2,177	1,132	965	998	1,032	1,060
Cash & equivalents	2,464	1,999	1,212	1,533	1,585	1,627
Current assets	6,054	4,716	3,979	4,303	4,448	4,567
Total Assets	20,754	19,802	19,059	19,714	20,121	20,454
EQUITY & LIABILITIES						
Equity	10,888	9,988	10,649	10,823	11,012	11,174
Long-term debt	4,183	3,889	3,093	2,307	2,375	2,425
Short-term debt	691	1,841	913	2,307	2,376	2,425
Long-term liabilities	4,238	3,621	3,356	2,570	2,638	2,688
Current liabilities	3,674	4,232	3,277	4,545	4,687	4,797
Total liabilities & equity	20,754	19,802	19,059	19,714	20,121	20,454
CAPITAL STRUCTURE & RATIOS						
Net debt	2,930	4,276	3,257	3,542	3,636	3,704
Capital invested	13,298	13,719	13,443	13,904	14,178	14,398
Equity ratio	52.5%	50.4%	55.9%	54.9%	54.7%	54.6%
Gearing	26.9%	42.8%	30.6%	32.7%	33.0%	33.1%
Net debt / EBITDA	5.3×	3.2×	2.2×	2.5×	2.2×	2.1×
Current ratio	1.7	1.1	1.2	1	1	1

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	917	1,329	1,116	983	1,239	1,334
Operating cash flow (Valuatum calculation)	999	1,397	1,136	1,136	1,402	1,500
Change in working capital	-474	-281	77	128	20	17
INVESTING & FREE CASH						
Gross capex	397	1,543	488	1,071	1,035	1,013
Capex (ex. M&A)	-397	-1,543	-488	-1,071	-1,035	-1,013
Cash after capex (CFO - gross capex)	520	-214	628	-88	204	320
Free operating cash flow (Valuatum def.)	779	-469	1,179	65	367	487
Free cash flow to firm	779	-469	1,179	65	367	487
FINANCING						
CF from financing	92	-159	-1,300	409	-152	-278
Dividends paid	-434	-473	-158	-197	-297	-389
Net change in cash	612	-373	-672	321	52	42

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,164	2,301	2,261	2,322	2,362	2,426	2,283	2,254
EBITDA	263	274	265	582	288	194	358	615
EBITDA margin	12.2%	11.9%	11.7%	25.1%	12.2%	8.0%	15.7%	27.3%
Comparable EBIT	145	148	139	-279	171	64	237	476
EBIT margin	6.7%	6.4%	6.1%	-12.0%	7.2%	2.6%	10.4%	21.1%
Net Earnings	72	38	84	-379	107	15	201	364
EPS	0.1	0.1	0.1	-0.5	0.1	0	0.3	0.5

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	2,358	2,423	2,360	2,335
EBITDA	270	185	299	511
EBITDA margin	11.5%	7.6%	12.7%	21.9%
Comparable EBIT	130	7	178	372
EBIT margin	5.5%	0.3%	7.6%	15.9%
Net Earnings	35	-11	106	241
EPS	0	-0	0.1	0.3

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 12333, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, STERV.HE financialmodelingprep.com	MARKET DATA	Price chart & market facts
Stora Enso updates comparative figures following changes to...	www.storaenso.com	OFFICIAL SOURCE	Reported segment table
Stora Enso announced changes to its Group Leadership Team,...	www.storaenso.com	OFFICIAL SOURCE	Stora Enso
Tuomas Hallenberg was appointed President and CEO of Stora...	www.storaenso.com	OFFICIAL SOURCE	Stora Enso
The Board of Directors resolved on two new long-term incent...	www.storaenso.com	OFFICIAL SOURCE	Stora Enso
Stora Enso released its full-year 2025 financial results, r...	www.storaenso.com	OFFICIAL SOURCE	Stora Enso
The Annual General Meeting 2026 approved a dividend of EUR...	www.storaenso.com	OFFICIAL SOURCE	Stora Enso

DISCLAIMER

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The target price is derived from Sum of the parts, weighted as shown in the target price bridge, against peer-group and historical multiples. The valuation methodology, key assumptions and their sensitivities are presented in the valuation section of this report.

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